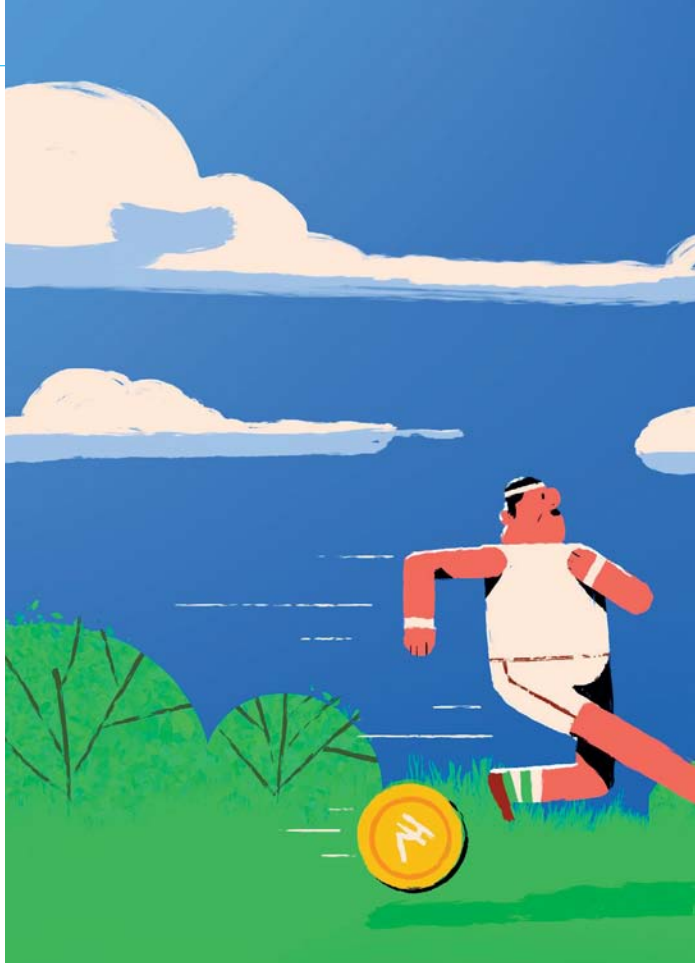


Every New Year, scores of people set resolutions that invariably revolve around diet and fitness. Some manage to keep up with it for long, but most of them give up by the time the first month is over. This new financial year, make a plan to turn over a new leaf when it comes to your money and focus on achieving financial fitness. With travel restrictions off and vacations round the corner, shopping lists and travel plans could be in full swing. There is no better time than now to check on your finances to improve your fiscal fitness and take control of your money.

For the uninitiated, financial fitness is like physical fitness because it affects your well-being. Unlike physical fitness which involves gaining stamina, building muscle and being functionally efficient, financial fitness involves building financial reserves and making your money work efficiently. Another way to differentiate between the two is to understand physical fitness as something that helps you live well in old age; financial fitness is all about helping you cope with financial challenges and providing you the cushion to retire comfortably.

Physical fitness doesn't happen automatically and we need to work on it. We need to make time for it, start small, build it up, maintain it and make it a way of life. Fiscal fitness is not very different, especially when one doesn't find that much time to think about it. However, the benefit of being financially fit is that it prepares you for the future, safeguards the family and eventually provides you with adequate money for a comfortable retired life. It is not easy getting into any fitness routine, so don't look for excuses. Help secure your future by working on making yourself financially fit.

IMPORTANCE OF FINANCIAL FITNESS



There are many reasons why financial fitness is more important than ever. We are living longer than ever. The average life expectancy of Indians is about 70 years now; it was about 65 a decade ago. With enhancement in healthcare, the chances of one living longer is a fact, but that doesn't ensure that one will be financially and physically healthy in one's later years. Act now to ensure you are financially fit for the future and can face financial challenges with no stress.

To know where you stand on financial fitness, it is a good idea to first know how much control you have over your financial life (see *Test your Fiscal Fitness*). Whatever the level of financial fitness, there are four core components of our financial lives—Save, Spend, Borrow and Plan. All these facets of your personal finance play an important role in day-to-day financial lives. By focusing on financial activities that fall within these four aspects, you can build on your financial fitness bit by bit each passing day.

SAVE FIRST, SAVE MORE



People get so embroiled with household expenses that they pay little heed to saving for future financial needs. Often, savings takes a back seat as pay cheque-to-pay cheque living becomes the norm. One needs to take a more proactive approach on savings. There is this famous and simple financial equation that puts savings as everything that is left of the income after accounting for expenses. There is nothing wrong with this equation. But for savings to become meaningful, the equation needs to be rearranged a little—deduct savings from income and use the remainder for expenses.

Save first, spend later puts savings as a priority and can go a long way in making your future secure. You also have better control over your savings once you understand your income and expenses. To put more rigour in your finances, plan a budget that earmarks money for regular household expenses like bills, loan repayment, eating out or children's school fee. With a budget in place, not only will you have a clear reading of where the money goes, you may also be able to put a